Expert Report of Charlotte Ibbotson ACA (Extract)

Expert Report | Document ID: **RES-EXP-001**

Date:	30 January 2026
Expert:	Charlotte Ibbotson ACA, Ibbotson Grange Forensic Accounting
Instructed by:	Respondents

1. Instructions and Scope

1.1 I am instructed by Camborne Fitch LLP on behalf of the Respondents to provide an independent expert opinion on (a) the quantum of loss said to arise from the alleged breach of Warranty 7.3, and (b) the correct calculation of Actual EBITDA for the Earn-Out Period. I confirm my primary duty is to the Tribunal and that this report represents my own independent, objective and unbiased opinion.

2. Quantum of the Warranty Claim

2.1 I agree with Mr Fenwick-Symes that a diminution-in-value methodology is, in principle, an appropriate approach. I disagree, however, with several inputs to his calculation. First, Northbridge's contract, on the Target's own historic management accounts, operated at a materially lower margin than the Target's average account, such that its annual EBITDA contribution is more accurately stated at approximately £255,000, not £390,000. Second, I consider a multiple of 6.1x (the full headline transaction multiple) to overstate the appropriate multiple for a single lost account, which does not carry the same strategic premium as the business as a whole; in my opinion a multiple in the region of 4.0x-4.5x is more appropriate for this purpose. On these inputs, I calculate the loss (if any breach and causation are established) at approximately £1,020,000 to £1,150,000, materially lower than Mr Fenwick-Symes' figure.

2.2 I have not been instructed to, and do not, express a view on whether any replacement revenue has in fact been secured by the Target since Northbridge's departure, which I understand remains a live factual issue.

3. The Earn-Out EBITDA Calculation

3.1 In my opinion, Clause 6.4(b) requires Actual EBITDA to be calculated as though the Target had continued to be run on a stand-alone basis consistent with its own pre-Completion accounting policies. The group overhead allocation of approximately £540,000 is, on its face, a cost of a type not historically borne by the Target prior to Completion, since the Target had no parent company before Completion and therefore could not have borne a share of group overheads. Excluding this allocation, I calculate Actual EBITDA for the Earn-Out Period at approximately £2,690,000.

3.2 On my calculation of Actual EBITDA, and applying the formula in Clause 6.4(a), the Earn-Out Payment would be calculated as approximately 48.3% of £4,500,000, i.e. approximately £2,175,000, apportioned as to 62% (£1,348,500) to Mr Ashworth-Hale and 38% (£826,500) to Mrs Ashworth-Hale.

3.3 I have not been asked to, and do not, express a concluded view on the correct legal construction of Clause 6.4(b); my opinion is limited to the accounting treatment.

Statement of Truth: I confirm that I understand my duty to the Tribunal and have complied with it. I confirm that the opinions expressed in this report are my true and complete professional opinions.

Signed: *C. Ibbotson ACA* Dated: 30 January 2026